

Research: about the topic “A comparative study of Argentina and Chile’s economic and political models—populism vs. neoliberalism—and their long-term effects on stability, inequality, and institutional development.”

We know that if we look for data about some topic, it is clear that we find tons of it from the internet. So that I did understand that, I am going to give five short but indispensable content parts.

### **1.Title: Institutional Roots of Divergent Development: A Comparative Study of Chile and Argentina (Munly, 2017).**

This study by Lisa Munly (University of Oregon) investigates why two Latin American nations with similar starting points—Argentina and Chile—took such different economic paths after the mid-20th century. Both countries were middle-income economies with strong agricultural exports, a European immigrant base, and democratic traditions. Yet, while Chile evolved into one of Latin America’s most stable and prosperous nations, Argentina entered a cycle of crises, defaults, and political turbulence. Munly attributes this divergence primarily to institutional design and policy consistency rather than cultural or geographic factors.

Chile’s success stemmed from a persistent commitment to *institutional credibility*: an independent central bank, predictable fiscal policy, and a rule-based legal system. These institutions insulated Chilean policy from populist pressures. Export-oriented industrialization and the prioritization of property rights attracted stable foreign investment. Meanwhile, Argentina’s pattern of “stop-and-go” populism, initiated by Peronism, eroded trust in both monetary and political institutions. Frequent government interventions—price controls, nationalizations, and monetary financing—led to inflationary spirals and currency collapse.

Munly’s analysis uses both historical comparison and World Bank data from 1970–2010. She finds that Chile’s GDP per capita growth averaged 4.1% annually during that period, compared to Argentina’s volatile 1.7%. Beyond numbers, she stresses the qualitative role of *policy credibility*. In Chile, the state’s promises—such as maintaining fiscal discipline—were believed and reinforced through technocratic continuity. In Argentina, populist leadership alternated

between expansionary and austerity cycles, producing instability and social frustration.

The paper concludes that sustainable economic growth depends less on ideology (left or right) than on institutional coherence. Populism can redistribute income quickly, but without disciplined institutions, such redistribution becomes unsustainable. Chile's path reveals that consistent policy anchored in legal credibility enables long-term development even under neoliberal regimes. Argentina's case warns that populism without fiscal responsibility destroys economic trust.

Munly's research thus frames Latin American development as an institutional rather than ideological issue: Chile institutionalized credibility; Argentina politicized it.

**Reference:**

<https://scholarsbank.uoregon.edu/server/api/core/bitstreams/7b465e1a-4dab-4081-ba9c-48fff38a49b1/content>.

**2. Title: Neoliberalism and Divergent Outcomes: How Chile and Argentina Followed the Same Road Differently (Undurraga, 2015)**

Tania Undurraga's article explores how both Chile and Argentina embraced neoliberalism but produced strikingly opposite results. Her analysis begins in the 1970s, when both nations faced crises of populism and military intervention. Each turned to liberalization—privatization, deregulation, and market openness—but with distinct political and institutional contexts that shaped the long-term outcome.

Chile's neoliberalism was forged under General Augusto Pinochet's authoritarian regime and designed by technocrats known as the *Chicago Boys*, educated at the University of Chicago. They implemented radical reforms: trade liberalization,

pension privatization, and fiscal tightening. Despite deep social inequality, these reforms became embedded in the state's bureaucratic culture and survived into democratic rule after 1990. The bipartisan consensus between center-left and center-right governments ensured that neoliberal institutions were not dismantled but gradually humanized through social programs.

Argentina's neoliberal experience under President Carlos Menem in the 1990s, by contrast, was highly politicized. It was used to attract capital and control inflation through the convertibility plan but lacked institutional depth. When economic pressures mounted in the late 1990s, populist politics returned, reversing privatization and re-nationalizing key sectors. Undurraga calls this phenomenon "shallow neoliberalism": reforms implemented for short-term gain, not institutionalized as enduring norms.

The article emphasizes that neoliberalism is not a single model but a process shaped by local power structures. In Chile, the military regime's centralization and subsequent technocratic management gave coherence to reform. In Argentina, democracy without institutional independence meant neoliberalism became hostage to political expediency.

Undurraga concludes that the endurance of neoliberalism depends on the strength of the state, not its weakness. Chile's strong, technocratic state could embed liberalization; Argentina's populist democracy could not. This explains why Chile achieved stability but inequality, while Argentina oscillated between growth and crisis.

The study challenges simplistic narratives that neoliberalism uniformly benefits or harms nations. Instead, it shows that outcomes depend on institutional continuity, elite consensus, and the degree to which market logic becomes embedded in governance structures.

**Reference:**

<https://www.scielo.br/j/rsocp/a/Hjyw9CtYFgkMRMYR87bGHfn/?format=html&lang=en>

**3. Title: Privatization, Politics, and Performance: Lessons from Argentina and Chile (World Bank, 1994)**

This World Bank comparative report analyzes the privatization programs in Argentina and Chile during the 1980s and 1990s, using case studies of telecommunications, energy, and transportation. It focuses on *how* these programs were implemented and *what results* they achieved in terms of fiscal efficiency, public accountability, and productivity. The report argues that privatization outcomes depend less on ideology and more on institutional sequencing and political credibility.

In Chile, privatization followed a clear, gradual process built on earlier fiscal reforms and legal transparency. Between 1974 and 1989, over 500 state-owned enterprises were sold. The proceeds were directed into stabilization and pension funds, helping to strengthen fiscal sustainability. Privatization was supported by stable macroeconomic policies and independent regulatory agencies, ensuring public trust and limiting corruption. Productivity in the newly privatized sectors rose by an average of 30% within a decade.

Argentina's privatization, initiated under President Menem (1989–1999), was much faster but less structured. Faced with hyperinflation, the government sold major state assets—airlines, utilities, and oil companies—mainly to service external debt and finance short-term fiscal needs. Regulatory bodies were created hastily and often politicized, leading to inefficiency and inequality in service provision. The report notes that while privatization initially reduced fiscal pressure, it failed to create long-term competitiveness or transparency.

The study concludes that privatization can only succeed when embedded in a credible institutional framework. Chile's gradualism and clear legal mechanisms promoted accountability, whereas Argentina's ad-hoc approach invited rent-seeking and public backlash. In essence, Chile viewed privatization as a

means to build stronger markets; Argentina used it as an emergency tool to plug fiscal holes.

The report's broader implication is that reform design matters as much as reform content. Market liberalization without institutional stability breeds distrust, while structured privatization within a disciplined framework can sustain economic transformation. Thus, Chile's pragmatic neoliberalism yielded stability, whereas Argentina's politically motivated privatization deepened structural fragility.

**Reference:**

[https://documents1.worldbank.org/curated/en/619571468914752347/pdf/Privatization-in-A-Argentina-and-Chile-lessons-from-a-comparison.pdf?utm\\_source](https://documents1.worldbank.org/curated/en/619571468914752347/pdf/Privatization-in-A-Argentina-and-Chile-lessons-from-a-comparison.pdf?utm_source)

**4. Title: Welfare and Inequality: The Social Cost of Divergent Economic Paths (Terra & Rubilar Donoso, 2022)**

Terra and Rubilar Donoso's comparative study examines the social dimensions of the Chilean and Argentine economic models between 2000 and 2019. Using labor market data, household surveys, and welfare expenditure records, the authors analyze how each nation's economic structure translated into social inequality and employment outcomes.

Chile's neoliberal model, grounded in market mechanisms, produced consistent growth and low inflation but entrenched inequality. Despite the country's impressive GDP performance—averaging around 4% annual growth—income concentration remained high, with the top 10% capturing a disproportionate share of national wealth. Labor reforms promoted flexibility but weakened collective bargaining, contributing to job insecurity. The study notes that the 1981 private pension reform and limited public welfare spending constrained upward mobility for lower-income groups.

Argentina, in contrast, maintained an interventionist welfare state shaped by Peronist traditions. The government expanded subsidies, public employment, and conditional cash transfers. These policies temporarily reduced poverty but failed to generate stable employment or fiscal sustainability. Chronic inflation eroded real wages, and recurrent currency crises undercut welfare gains. The study highlights Argentina's tendency toward short-term redistribution at the cost of long-term stability.

The authors find that both models achieved partial success: Chile ensured stability without equity, while Argentina pursued equity without stability. They argue that development requires integrating efficiency with inclusion—combining fiscal discipline with robust social protection. The contrast illustrates the trade-offs between technocratic governance and populist redistribution in Latin America.

Terra and Rubilar conclude that inequality in Chile is structural, rooted in market-driven policy continuity, whereas Argentina's inequality is cyclical, reflecting inflation and policy reversals. Sustainable welfare must reconcile market competitiveness with social justice, an equilibrium neither country has fully reached.

This study transforms the macroeconomic debate into a social one, revealing that economic models are ultimately judged by their ability to sustain inclusive progress.

**Reference:**

[https://www.ssoar.info/ssoar/bitstream/handle/document/93619/ssoar-jpla-2022-2-terra\\_et\\_al-Social\\_Inequalities\\_in\\_Argentina\\_and.pdf](https://www.ssoar.info/ssoar/bitstream/handle/document/93619/ssoar-jpla-2022-2-terra_et_al-Social_Inequalities_in_Argentina_and.pdf).

**5. Title: Crisis and Continuity: Comparing the 2001 Argentine Collapse and the 2019 Chilean Social Explosion (Scully & Garretón, 2024)**

In this recent *Latin American Perspectives* article, Scully and Garretón examine two emblematic crises—Argentina’s 2001 financial collapse and Chile’s 2019 social protests—to understand how decades of divergent economic governance culminated in political upheaval. Their central thesis is that both nations represent extremes of the Latin American developmental spectrum: Argentina as the case of *institutional exhaustion*, Chile as one of *social exhaustion*.

Argentina’s 2001 crisis, triggered by debt default and currency collapse, symbolized the long-term consequences of populist fiscal indiscipline. The authors trace its roots to repeated political interference in monetary policy and the erosion of trust between state and citizens. When the convertibility plan collapsed, Argentina faced unemployment above 20%, mass protests, and a loss of international credibility.

Chile’s 2019 unrest, conversely, occurred within a context of macroeconomic stability but profound inequality. The protests, sparked by a subway fare increase, revealed accumulated frustration with privatized pensions, education costs, and stagnant wages. The article argues that Chile’s technocratic neoliberalism achieved growth but neglected social legitimacy.

Through comparative analysis, the authors show that both economic extremes—populist volatility and technocratic rigidity—produce crisis, albeit in different forms. Argentina’s recurring collapses stem from weak institutions and fiscal populism; Chile’s unrest emerges from democratic deficits and unequal growth.

Scully and Garretón conclude that sustainable governance requires a synthesis of both models: fiscal prudence anchored in democratic participation. Economic stability must coexist with legitimacy. The article warns that ignoring social justice in pursuit of efficiency—or sacrificing efficiency for populism—leads to instability either way.

Ultimately, the study presents a balanced message: Chile’s crisis demanded inclusion; Argentina’s demanded discipline. Together, they reveal that the future of Latin American development lies in building institutions that are both *credible* and *inclusive*.

Reference: [https://journals.sagepub.com/doi/10.1177/0094582X241231938?utm\\_source](https://journals.sagepub.com/doi/10.1177/0094582X241231938?utm_source)

